Quiz: BIZ101

Language: en

October 9, 2025

Instructions

Answer all questions by selecting the best option (A, B, C, or D). The answer key is provided at the end of this document.

Question 1

Payment rails built on top of traditional currency systems are?

A. Essentially free because the customer pays the price displayed by the merchant

B. Paid for by the card companies who resell customers' data

C. Paid for by the customer on top of the merchant's asking price

D. Essentially paid for by the merchants through the fees of the payment processors

Question 2

Why is scarcity considered an important property of a good currency?

A. Because a limited supply protects its value from being diluted by overproduction.

B. Because it makes it harder for the currency to be recognized.

C. Because it discourages the use of currency in long-distance trade.

D. Because it ensures that everyone can easily mint their own currency.

Question 3

How did the transition from coins to paper money improve the currency network?

A. It eliminated the need for any underlying asset or trust.

B. It instantly stopped inflation and stabilized the economy.

C. It made money more portable and scalable, facilitating long-distance trade and complex financial systems.

D. It allowed governments to avoid managing the money supply entirely.

Question 4

What is one drawback of modern centralized currency systems?

A. They ensure that money issuance is fully decentralized and inflation-proof.

B. They provide a stable, unchanging value for every currency unit.

C. They often lack transparency and auditability in managing the money supply.

D. They remove all intermediaries and speed up settlements to milliseconds.

Question 5

What characterizes the complexity of today's card-based payment process at a retail point of sale?

A. It ensures that once the card is swiped, the merchant has the funds instantly and irreversibly.

B. It relies exclusively on physical cash and no intermediaries.

C. It involves multiple intermediaries, several steps, and can take days to fully settle funds.

D. It requires only one instant step, and funds are settled immediately.

Question 6

What is one defining characteristic of Bitcoin as a currency network?

A. It issues new units of currency at any user's request.

B. It needs banks to verify and settle every transaction.

C. It can only function when authorized by a government agency.

D. It is like cash and requires no central authority or intermediary for transactions.

Question 7

Why is the 21 million cap on Bitcoin issuance significant?

A. It eliminates all volatility in Bitcoin's price.

B. It ensures that governments can print as many bitcoins as needed.

C. It prevents anyone from sending transactions after the cap is reached.

D. It creates a deflationary asset, protecting its value against arbitrary inflation.

Question 8

Which of the following best describes how Bitcoin transactions achieve finality?

A. Transactions can be reversed by banks if a dispute arises.

B. Any participant can edit past transactions at will if they have a special code.

C. Users must gain approval from multiple government entities to finalize a transaction.

D. Once recorded on the blockchain, transactions are immutable and cannot be altered.

Question 9

Which statement best captures Bitcoin's role as a network and asset for businesses?

A. It's solely a speculative trading tool with no real utility.

B. It can act as both a store of value and a medium of exchange in a global, decentralized system.

C. It can only function as a local gift card system.

D. It must be tied to a single country's monetary policies to operate.

Question 10

What is the main purpose of the Lightning Network built on top of Bitcoin?

A. To replace Bitcoin's blockchain entirely and store all transactions locally.

B. To enable faster, near-instant payments with minimal on-chain interaction.

C. To slow down transactions to ensure they remain fully traceable by governments.

D. To provide a permissioned network controlled by a single entity.

Question 11

How does the Lightning Network help reduce fees for Bitcoin transactions?

A. By requiring merchants to pay all network costs upfront.

B. By removing all cryptographic verification from payments.

C. By conducting most transactions off-chain and publishing only channel settlement transactions on the main blockchain.

D. By centralizing control in one large payment hub.

Question 12

What advantage does Lightning offer merchants regarding payment finality?

A. It makes transactions fully reversible for up to 90 days.

B. Payments on Lightning finalize almost instantly, reducing the risk of reversals or fraud.

C. It requires 24 hours of waiting before funds are spendable.

D. It allows customers to reclaim their payment at any time.

Question 13

Why can the Lightning Network be compared to “email for payments”?

A. Because it only works when attached to regular email messages.

B. Because it stores user balances in the body of an email.

C. Because it sends payments through traditional email providers.

D. Because it enables seamless, global, and permissionless value exchange as easily as sending a message.

Question 14

According to Austrian economics, why are profits considered a key indicator of a company’s health?

A. Because profits ensure that the company’s workforce is the largest in its industry.

B. Because profits show the business is meeting consumer needs efficiently and sustainably.

C. Because profits reflect random market events unrelated to consumer demands.

D. Because profits are only a sign that the company received government subsidies.

Question 15

Why is preserving capital essential for a healthy company in an uncertain future?

A. Preserving capital is only important if the company plans to never grow.

B. Preserving capital ensures permanent immunity from all regulatory changes.

C. Maintaining capital reserves allows the company to adapt, invest in growth, and weather economic downturns.

D. Preserving capital guarantees that no competitor can ever enter the market.

Question 16

What does the fisherman's story illustrate about the nature of capital?

A. Capital must be created instantly through government loans.

B. Capital is just a stockpile of consumer goods waiting to be consumed immediately.

C. Capital only matters for large corporations, not small entrepreneurs.

D. Capital represents saved resources that enable building tools to improve future productivity.

Question 17

How does artificially created capital from debt-based money differ from Austrian-style capital?

A. Austrian-style capital stems from real savings and sacrifice, while debt-based capital is created instantly from credit and can distort economic signals.

B. There is no difference; both forms of capital are identical in nature and effect.

C. Debt-based capital never requires repayment and is equivalent to real savings.

D. Austrian-style capital is generated by printing more money whenever needed.

Question 18

Why might a company consider holding part of its treasury in Bitcoin?

A. To ensure it can never convert its assets back into traditional currencies.

B. To immediately eliminate all risk and guarantee stable returns.

C. As a potentially appreciating asset that can store value and offer liquidity without relying on traditional financial intermediaries.

D. To comply with mandatory government regulations requiring Bitcoin holdings.

Question 19

What is one reason institutional investors and large companies have become interested in Bitcoin?

A. Bitcoin transactions are fully insured by central banks.

B. It requires no understanding of digital assets or financial regulations.

C. Bitcoin’s price is set and guaranteed by government agencies.

D. Bitcoin’s adoption by major financial players, like BlackRock and the success of Spot Bitcoin ETFs, has legitimized it as a store-of-value asset.

Question 20

Why is volatility considered a natural aspect of Bitcoin as an emerging asset?

A. Because it’s centrally controlled and prices are set by one authority.

B. Because merchants must set prices unpredictably every hour.

C. Because Bitcoin is still relatively young, it attracts speculators and responds to market news, causing price swings before stabilizing over longer periods.

D. Because Bitcoin lacks any users holding it long-term.

Question 21

What is “hidden inflation” in the context of a debt-based monetary system?

A. It’s the increase in the money supply (around 7

B. It’s an official economic term for fixed interest rates.

C. It refers to inflation numbers not published by central banks.

D. It means prices never rise, even when the money supply expands.

Question 22

Why might a company consider holding Bitcoin over traditional ”safe” assets like real estate?

A. Bitcoin can potentially outpace real inflation and is not tied to the illiquidity and maintenance costs of real estate.

B. Real estate is always cheaper than Bitcoin and never needs maintenance.

C. Bitcoin provides government-backed guarantees that real estate does not.

D. Real estate appreciates faster than Bitcoin under all market conditions.

Question 23

What is generally recommended when allocating a portion of a company’s treasury to Bitcoin?

A. Only invest when you need an urgent short-term loan to cover expenses.

B. Invest only excess liquidity that you won’t need for several years and maintain a time horizon of at least four years.

C. Use all operational cash immediately without considering liquidity needs.

D. Aim to buy and sell within a few weeks to maximize short-term profits.

Question 24

Which of the following is NOT one of the three primary methods mentioned for acquiring Bitcoin?

A. Mining Bitcoin through specialized hardware and energy use.

B. Purchasing Bitcoin from a platform or broker.

C. Obtaining Bitcoin in exchange for goods or services.

D. Receiving Bitcoin as a government grant for business development.

Question 25

When buying Bitcoin, what is one recommended approach to handle its price volatility?

A. Only buy Bitcoin on days when its price has risen sharply.

B. Go all-in with the company's entire treasury at once.

C. Attempt to predict short-term market peaks and sell immediately.

D. Gradually accumulate Bitcoin at regular intervals and maintain a long-term perspective.

Question 26

Why is starting with a small initial purchase of Bitcoin recommended for businesses?

A. It instantly guarantees the business maximum returns.

B. It legally prevents the company from facing tax liabilities.

C. It allows them to gain hands-on experience and understanding before committing larger sums.

D. It makes the company immune to all cryptocurrency scams.

Question 27

What is one key consideration when choosing a platform or broker to buy Bitcoin for a business?

A. Finding a provider that refuses to offer any customer support.

B. Ensuring the platform only supports obscure cryptocurrencies.

C. The provider's reputation, security measures, and ability to export transaction histories for accounting.

D. Using a service that prohibits withdrawing Bitcoin to a self-custody wallet.

Question 28

What is one suggested practice regarding custody when acquiring Bitcoin?

A. Always trust a single custodian without reviewing security measures.

B. Never withdraw Bitcoin from the exchange under any circumstances.

C. Consider self-custody solutions after initial purchases, so the business truly controls its assets.

D. Store all Bitcoin on a public website with a simple password

Question 29

Why might a business choose to accept Bitcoin payments from customers?

A. To tap into a growing user base, potentially lower transaction fees, and hold a valuable asset in its treasury.

B. To ensure that no taxes or regulatory requirements ever apply.

C. To guarantee that all customers will pay more than the listed price.

D. To make the checkout process slower and more complicated.

Question 30

What is an advantage of Lightning Network payments for merchants at the point of sale?

A. Lightning payments can be reversed at will by the buyer after the sale.

B. Lightning payments settle almost instantly and don’t require multiple intermediaries, reducing fees and settlement delays.

C. Lightning payments need weeks to confirm and require heavy paperwork.

D. Lightning payments only occur if approved by a central bank’s authority.

Question 31

How can accepting Bitcoin payments help increase a business's visibility?

A. By banning all other payment methods and forcing all customers to use Bitcoin.

B. By listing the business on platforms like BTCmap.org and appealing to the Bitcoin community's word-of-mouth.

C. By requiring customers to register for multiple online accounts before paying.

D. By guaranteeing that the government will advertise the business free of charge.

Question 32

How should a business choose a Bitcoin payment solution that fits its needs?

A. By only using the largest and most expensive solution available, irrespective of business size.

B. By relying solely on guesswork without considering the business's specific requirements.

C. By always choosing the simplest solution, regardless of transaction volume or complexity.

D. By considering factors like transaction frequency, average payment size, and whether it's online or in-person, and then selecting a solution tailored to that category.

Question 33

What is one benefit of starting small when first accepting Bitcoin payments?

A. It allows the business to learn from a few initial transactions and gradually move to more sophisticated solutions if customer demand grows.

B. It prevents the business from upgrading or changing providers later.

C. It requires a company to accept Bitcoin from every customer before understanding the process.

D. It forces the business to use only self-custody solutions immediately.

Question 34

How has the Lightning Network evolved to improve the user experience since its inception?

A. It has introduced features like splicing, static Bolt12 invoices, and better liquidity management, making transactions smoother and more reliable.

B. It now requires government approval for each payment.

C. It has stopped working on new features, relying on the original design only.

D. It has removed all security features to speed up transactions.

Question 35

What trend is noted among participants operating nodes on the Lightning Network?

A. Large banks now centrally operate all Lightning nodes.

B. Individual hobbyists have replaced all professional operators entirely.

C. The network has shut down personal nodes to allow only large corporations.

D. Professional node operators are increasingly providing liquidity, while individual users focus on “edge” nodes, shifting the network’s composition.

Question 36

How does the Lightning Network’s improved efficiency and speed compare to traditional payment methods?

A. It requires multiple approving entities, just like current bank transfers.

B. It is slower than traditional card payments and has higher fees.

C. It’s significantly faster, often settling transactions in less than a second, with lower fees and no reliance on multiple intermediaries.

D. It matches traditional banking times, often taking 2-5 days to settle.

Question 37

How is the Lightning Network helping shape the future of online commerce and digital services?

A. By enabling frictionless, instant, and permissionless microtransactions, opening up new business models and revenue streams.

B. By making digital goods impossible to sell due to high fees.

C. By requiring merchants to use the same slow, costly payment rails as before.

D. By preventing any new business models from emerging online.

Question 38

What is one key advantage of the Bitcoin payments ecosystem in terms of switching between solutions?

A. Bitcoin solutions are proprietary and locked to a single vendor.

B. Changing providers requires government approval and a lengthy legal process.

C. Once a provider is chosen, the business can never switch to another solution.

D. It’s relatively easy to change providers or upgrade tools, because Bitcoin’s open, interoperable standards allow for seamless fund transfers.

Question 39

Why is careful record-keeping essential when dealing with Bitcoin in a company’s accounting?

A. Because no accounting standards apply to Bitcoin transactions at all.

B. Because the blockchain automatically files taxes on behalf of the company.

C. Because it’s impossible to trace Bitcoin transactions once recorded.

D. Because every Bitcoin transaction may create a taxable event, and accurate records are needed to calculate gains, losses, and tax liabilities.

Question 40

What is one main difference between treating Bitcoin as a digital asset versus treating it like a currency in accounting?

A. When treated like a currency, no records of transactions are needed.

B. As a digital asset, each transaction's cost basis and gains/losses must be tracked, whereas if it were treated like a currency, revaluations would be simpler and less frequent.

C. When treated as a digital asset, it is completely exempt from all taxes.

D. Treating it like a currency requires an immediate switch to a new accounting software.

Question 41

Why might a business choose to hold Bitcoin as a long-term investment on its balance sheet?

A. Because it may serve as a store of value, potentially appreciating over time and providing a hedge against inflation.

B. Because Bitcoin inherently provides guaranteed profits with no risk.

C. Because it ensures the immediate elimination of all currency-related taxes.

D. Because it's required by international accounting standards.

Question 42

Why is it recommended to have a CSV export of all Bitcoin transactions?

A. Because exporting data automatically completes your tax return with no review.

B. Because paper receipts are the only legally acceptable accounting documents.

C. It provides a clear, structured record of every transaction, making it easier for accountants to integrate these into financial reports and tax filings.

D. Because CSV files eliminate the need to track cost basis.

Question 43

In most jurisdictions, what triggers a taxable event when dealing with Bitcoin?

A. Selling, trading, or using Bitcoin as payment often triggers a taxable event.
B. Simply holding Bitcoin indefinitely without any transactions.
C. Backing up your Bitcoin wallet or keys.
D. Viewing the Bitcoin price online.

Question 44

What does Bitcoin allow you to do without intermediaries?

A. Obtain bank loans
B. Exchange value on the Internet
C. Create centralized applications
D. Store personal data

Question 45

What is one of the major advantages for merchants using the Lightning Network?

A. Elimination of commercial taxes
B. Payments guaranteed by banks
C. Reduced transaction fees
D. Automatic increase in sales

Question 46

How does the Austrian School define the concept of ”time preference”?

A. The desire to reduce short-term costs
B. The preference for consuming now rather than later
C. The ability to balance supply and demand
D. The optimization of immediate investments

Question 47

What is the primary function of currency?

A. To centralize all economic transactions through a single authority
B. To act as an intermediary that simplifies the exchange of value
C. To store intrinsic value in physical form
D. To replace barter completely with direct goods-for-goods exchange

Question 48

Why is scarcity an essential property of a good currency?

A. It ensures that the currency must always be backed by a commodity like gold
B. It guarantees that only physical assets can be used as currency
C. It preserves value
D. It ensures that the currency is widely available to every individual

Question 49

What is the primary function of traditional payment systems?

A. To create a single global currency regulated by a central authority
B. To enable the transfer of funds between two parties
C. To restrict fund transfers to in-person cash exchanges only
D. To facilitate international trade

Question 50

What key advantage does paper money have over coins in traditional payment systems?

A. Enhanced intrinsic value through precious metals
B. Complete elimination of counterfeit risks
C. Automatic verification of every transaction
D. Increased portability and efficiency

Question 51

How does a credit card transaction typically differ from a simple cash transaction?

A. It happens instantly with no intermediary involvement

B. It involves multiple intermediaries

C. It requires the physical exchange of currency only

D. It mandates that both parties produce identical goods

Question 52

What type of business is most likely to find a simple CSV file sufficient for accounting?

A. Large multinational corporations

B. Small businesses

C. Major financial institutions

D. High-frequency trading platforms

Question 53

Which detail is NOT explicitly documented in a typical Bitcoin transaction CSV file as described in the course?

A. The transaction date

B. The Bitcoin addresses involved

C. The script type used

D. The equivalent fiat value

Question 54

What key payment details must be documented for each Bitcoin transaction?

A. The Bitcoin block number, timestamp, and script used

B. The transaction ID, network fee, and merchant’s address

C. The date, exchange rate, wallet type, and geographical location

D. The date, amount, equivalent fiat value, and associated addresses

Question 55

Which of the following software is not a Bitcoin accounting solution?

A. ZenLedger
B. Koinly
C. Sparrow
D. CoinTracker

Question 56

What is the main goal of the specialized Bitcoin accounting tools?

A. To simplify the automatic collection and processing of Bitcoin-related data
B. To enhance the security of Bitcoin private keys
C. To facilitate direct trading of Bitcoin on decentralized exchanges for businesses
D. To set up a PoS system for accepting Bitcoin payments

Question 57

How does a non-custodial wallet differ in functionality for Starter users?

A. It can automatically convert bitcoins to fiat currency
B. It gives the business owner full control of the private keys
C. It manages all transactions through a third-party service
D. It requires no backup procedures or security measures

Question 58

Why is it important to track the fiat value at the moment of each Bitcoin transaction?

A. To reduce the transaction fees imposed by the network
B. To ensure accurate bookkeeping and tax compliance
C. To automatically increase the wallet balance
D. To enable real-time market trading directly from the wallet

Question 59

What is one benefit of using a custodial wallet for the Starter profile?

A. Reduced technical responsibilities

B. Enhanced privacy with full autonomy over transactions

C. Increased control over private keys

D. Elimination of transaction fees

Question 60

Which two wallet types are considered in the Starter profile?

A. Hot and cold storage Bitcoin wallets

B. Multisig and paper Bitcoin wallets

C. Hardware and brain Lightning wallets

D. Custodial and non-custodial Lightning wallets

Question 61

What is the primary hardware requirement for a Starter profile to accept Bitcoin payments?

A. A hardware wallet

B. A smartphone

C. A Bitcoin miner ASIC

D. A self-hosted server

Question 62

What does the Essential profile use to help employees process payments at the PoS?

A. A manual ledger book for recording sales

B. The creation of a menu with item prices on the PoS app

C. A paper invoice system for each transaction

D. An automatic accounting record system for transactions from the PoS

Question 63

Which alternative solution to Swiss Bitcoin Pay to accept Bitcoin payments for the Essential profile is 100

A. Open Node

B. Phoenix Wallet

C. Bitcoinize PoS

D. BTCPay Server

Question 64

Which scenario best illustrates the usage of the Essential profile for Bitcoin payments?

A. An independent freelancer who accepts payment for their invoices in bitcoins

B. A restaurant accepting a few Bitcoin payments a month

C. A multinational corporation processing thousands of transactions daily

D. A high-frequency Bitcoin trading desk

Question 65

Which feature makes the Swiss Bitcoin Pay solution especially suitable for small businesses in the Essential profile?

A. A user-friendly PoS app

B. A multi-signature wallet management

C. Advanced multi-currency trading features

D. Full blockchain analytics integration

Question 66

What is the primary payment solution recommended for Essential profile businesses?

A. Open Node

B. Swiss Bitcoin Pay

C. Bitcoinize PoS

D. BTCPay Server

Question 67

Which alternative solution is mentioned for businesses that prefer an all-in-one online retail environment?

A. Phoenix

B. Swiss Bitcoin Pay

C. Be-BOP

D. Open Node

Question 68

What role do tools like Zaprite and Musqet play in a Professional payment solution?

A. They refine the checkout experience

B. They serve as basic POS systems

C. They focus on encrypting transaction data and managing private keys

D. They handle multi-currency conversion and fiat disbursement

Question 69

How can BTC Pay Server be deployed in a Professional environment?

A. Through a fully outsourced third-party service

B. On-premises or via cloud hosting

C. As a mobile application

D. Exclusively on dedicated hardware appliances

Question 70

Which open-source software is adapted to a Professional Bitcoin payment system?

A. Swiss Bitcoin Pay

B. BTC Pay Server

C. Open Node

D. Bitcoinize PoS

Question 71

What advanced features are typically demanded by Professional profile businesses?

A. Simple wallet integration and QR code generation

B. Basic transaction recording and standard receipts

C. Automatic conversion to fiat without any reporting options

D. Advanced reporting dashboards and multiple administrative roles

Question 72

What role does an LSP serve in Enterprise Bitcoin payments?

A. Process refunds manually on Lightning

B. Manage high-volume transactions on Lightning

C. Print Lightning invoices

D. Store private keys of the Lightning wallet

Question 73

How do Enterprise systems update inventory automatically?

A. Through workflow triggers

B. End-of-day uploads

C. Manual updates

D. Scheduled reports

Question 74

What enables real-time data sync between Enterprise Bitcoin systems and ERP software?

A. Batch uploads

B. CSV files

C. Email reports

D. APIs

Question 75

What advanced security features are typically implemented at the Enterprise level for Bitcoin?

A. Single-sig with BIP39 passphrase protection

B. Multi-signature with timelocks

C. Single-sig with 24-word seed phrase

D. Password protection for a mobile Lightning wallet

Question 76

What is the main objective of Enterprise-level Bitcoin payment implementations?

A. To fully integrate Bitcoin payments into the organization’s core processes

B. To accept Bitcoin without integration into other systems

C. To experiment with Bitcoin on a small scale

D. To use Bitcoin for marketing purposes

Answer Key

1. **Question 1:** D
   Nothing is free. The payment rails built in the traditional currency systems are operated by various vendors such as card companies and acquiring banks who charge a fixed fee and/or a precent fee for each transaction

2. **Question 2:** A
   A currency with controlled scarcity maintains its purchasing power over time. Without scarcity, excessive issuance could lead to inflation, eroding the currency's value.

3. **Question 3:** C
   Paper money was lighter and easier to make and to transport than coins made of precious metals. This portability and standardization simplified transactions, enabling economies to grow beyond local regions.

4. **Question 4:** C
   Centralized systems can issue money at will, often without transparent oversight. This can erode trust due to inflation, complex interbank settlements, and potential mismanagement.

5. **Question 5:** C
   Card payments often involve a chain of intermediaries (acquirers, issuers, card networks), require authorization and settlement steps, and can take from 48 hours to several days before the merchant receives the net funds.

6. **Question 6:** D
   Bitcoin operates as a decentralized network, allowing anyone to participate without permission. Transactions are validated by nodes and miners, not by a central authority.

7. **Question 7:** D
   With a maximum supply of 21 million, Bitcoin's scarcity is hard-coded, making it fundamentally different from inflationary currencies, where supply can be increased at will.

8. **Question 8:** D
   Bitcoin's blockchain is a tamper-proof ledger. Once a transaction is confirmed and included in a block, it becomes part of the permanent record, ensuring finality.

9. **Question 9:** B
   Bitcoin's global, internet-native design allows it to serve not just as a store of value but also as a medium of exchange, providing businesses with fast, permissionless, and final settlement of transactions worldwide.

10. **Question 10:** B
    The Lightning Network is a "second-layer" protocol that enables participants to create payment channels, transact off-chain, and settle the final net balance only on the Bitcoin blockchain. This design achieves faster speeds and lower costs.

11. **Question 11:** C
Since Lightning transactions happen off-chain, only the final channel states are settled on the Bitcoin blockchain. This reduces congestion and thus lowers fees by avoiding making many on-chain transactions.

12. **Question 12:** B
With Lightning, once a payment is routed and settled through the network, it's final. This eliminates the chargeback scenarios seen with traditional payment systems.

13. **Question 13:** D
Just as email revolutionized communication by removing intermediaries and enabling anyone to send messages worldwide, the Lightning Network simplifies and speeds up transactions, making value transfer as frictionless and accessible as email.

14. **Question 14:** B
In Austrian economics, profits signal that a company is producing goods or services valued by consumers at a price that exceeds the production cost. This outcome suggests efficient resource use and alignment with market needs.

15. **Question 15:** C
Future conditions are unpredictable. By maintaining a capital reserve, a business can capitalize on new opportunities, address unexpected challenges, and invest in long-term initiatives without relying solely on external financing.

16. **Question 16:** D
The fisherman who saves a few days' worth of fish to build a spear is deferring immediate consumption for future gain. This example illustrates how saving (capital accumulation) leads to higher efficiency and increased production over time.

17. **Question 17:** A
Austrian capital emerges from actual foregone consumption and careful investment. Debt-based capital, created easily through loans, can mislead entrepreneurs and lead to inefficient investments, as it doesn't reflect true savings or consumer preferences.

18. **Question 18:** C
Bitcoin's scarcity, global liquidity, and independence from traditional banking systems can make it an attractive treasury asset. Although it involves risk and volatility, businesses may view it as a long-term store of value and a hedge against inflation.

19. **Question 19:** D
When major institutions recognize Bitcoin as a valid investment, it signals to the market that it has matured beyond speculation. Products like Spot Bitcoin ETFs make it easier for businesses to gain exposure, further driving mainstream acceptance.

20. **Question 20:** C
As a developing asset, Bitcoin's price is influenced by speculation, sentiment,

and varying adoption rates. Over time, as more stable, long-term holders participate, volatility may diminish; however, it remains a characteristic of early-stage growth.

21. **Question 21:** A
Hidden inflation occurs when the money supply expands, diminishing the purchasing power of savings. If a business doesn't proactively invest or protect its wealth, it risks losing value to this quiet form of monetary dilution.

22. **Question 22:** A
Real estate often involves liquidity constraints and ongoing costs, and may not keep pace with the hidden inflation in a debt-based monetary system. Bitcoin's scarcity and global reach offer a distinct store-of-value proposition that may outperform traditional assets in the long run.

23. **Question 23:** B
Because Bitcoin's price can be volatile in the short term, it's wise to use funds you don't need right away and hold for at least four years. This approach smooths out volatility and increases the chances of realizing long-term value appreciation.

24. **Question 24:** D
The chapter outlines three primary methods for acquiring Bitcoin, which consist in accepting it as payment, mining it, or purchasing it. Receiving Bitcoin as a government grant isn't a recognized standard method of acquisition.

25. **Question 25:** D
Regular purchases over time (dollar-cost averaging) help smooth out volatility. A longer-term horizon (e.g., 4 years) reduces the impact of short-term price swings.

26. **Question 26:** C
A small initial investment helps businesses learn the practical aspects of buying, storing, and managing Bitcoin without taking on significant risk.

27. **Question 27:** C
A reliable platform should have a solid reputation, good security, and tools for record-keeping. The ability to withdraw Bitcoin and integrate with accounting software is also crucial for business operations.

28. **Question 28:** C
After buying Bitcoin, moving it to a self-custody wallet ensures the business has direct control over its funds. While third-party custodians can be convenient, self-custody aligns with Bitcoin's principle of financial sovereignty.

29. **Question 29:** A
Accepting Bitcoin can attract a new demographic of buyers, reduce payment processing fees, and build a store of value. It can also increase global reach, as Bitcoin is borderless and operates 24/7.

30. **Question 30:** B
The Lightning Network enables faster and cheaper transactions by facilitating off-chain settlement. Merchants can receive funds almost instantly, with minimal fees, and without relying on traditional payment intermediaries.

31. **Question 31:** B
Accepting Bitcoin is still relatively uncommon, which can draw interest from the Bitcoin community. Listing your store on specialized directories and benefiting from community-driven promotion can help you stand out and attract new customers.

32. **Question 32:** D
Different businesses have different needs. Evaluating factors such as transaction volume, payment methods (online vs. physical), and scalability helps a company pick the right Bitcoin payment solution.

33. **Question 33:** A
Beginning with a simple, starter-level approach enables the business to gain practical experience without significant risk. If the interest in Bitcoin payments proves worthwhile, the company can then upgrade its infrastructure and integrate more advanced tools.

34. **Question 34:** A
Over time, the Lightning Network has seen technical enhancements that reduce friction for users. New features and better node management tools have contributed to a more seamless and user-friendly experience.

35. **Question 35:** D
There's a move toward more liquidity and stability provided by professional entities, while everyday users rely on simplified or hosted solutions, making the network more robust and accessible.

36. **Question 36:** C
By enabling off-chain transactions and finalizing payments nearly instantaneously, Lightning offers a speed and efficiency advantage over traditional methods that rely on several intermediaries.

37. **Question 37:** A
Lightning's ability to send tiny amounts of value instantly and at low cost encourages innovation in areas like pay-as-you-go content, streaming payments, and machine-to-machine transactions, potentially transforming how online services are monetized.

38. **Question 38:** D
Since Bitcoin is built on open protocols, merchants are free to move their funds or adopt new solutions as their needs change or they grow. This flexibility ensures that businesses can select the best tools without being locked into a vendor.

39. **Question 39:** D
Each purchase, sale, or payment made in Bitcoin could have tax implications. Keeping detailed records of cost basis, sale price, and timing ensures correct and compliant tax reporting.

40. **Question 40:** B
Digital asset treatment typically involves calculating capital gains or losses on

each transaction, adding complexity. If Bitcoin were accounted for like a currency, it would be simpler; just update the fiat value periodically, as done for other currencies.

41. **Question 41:** A
Some companies view Bitcoin as a strategic long-term asset that can preserve or grow in value, thereby protecting against the debasement of traditional currencies and diversifying their treasuries.

42. **Question 42:** C
Having a digital record in a common format enables seamless integration into accounting systems, maintains audit trails, and supports accurate tax and compliance reporting.

43. **Question 43:** A
Typically, a taxable event occurs when a business disposes of or uses its Bitcoin, not merely by holding it in reserve. Each sale or exchange of Bitcoin for goods, services, or fiat currency can generate taxable gains or losses.

44. **Question 44:** B
Bitcoin enables the exchange of value on the Internet without intermediaries through its peer-to-peer protocol.

45. **Question 45:** C
Transaction fees on the Lightning Network are very low, making it a cost-effective solution for merchants.

46. **Question 46:** B
Time preference refers to the preference for immediate consumption over deferred benefits, which influences decisions on saving and investing.

47. **Question 47:** B
Currency simplifies trade by serving as a common medium that reduces the complex web of exchange rates needed in a barter system, thereby facilitating easier transactions.

48. **Question 48:** C
Scarcity prevents the excessive creation of currency, thereby maintaining its value and purchasing power over time.

49. **Question 49:** B
Traditional payment systems provide mechanisms and infrastructure for transferring funds between payers and payees in both local and international contexts.

50. **Question 50:** D
Paper money, being lightweight and easier to transport than coins, enabled more efficient long-distance trade and reduced logistical challenges.

51. **Question 51:** B
Unlike cash, which is exchanged immediately, credit card transactions undergo a series of steps involving banks, card networks, and clearing processes, resulting in delays and additional costs.

52. **Question 52:** B
    Most small businesses benefit from the simplicity and sufficient detail provided by a CSV export.
53. **Question 53:** C
    A typical Bitcoin transaction CSV file usually mentions date, amount, fiat equivalent, and Bitcoin addresses, but not the script type used.
54. **Question 54:** D
    Documenting these details ensures clarity and assists accountants in differentiating incoming and outgoing flows.
55. **Question 55:** C
    Sparrow is not a Bitcoin accounting solution, while the others are (it’s a Bitcoin Wallet software).
56. **Question 56:** A
    These tools are designed to automate data collection, format conversion, tax calculation, and transaction categorization.
57. **Question 57:** B
    Non-custodial wallets place the control of private keys and transactions entirely in the user’s hands.
58. **Question 58:** B
    Tracking the fiat value helps businesses manage bookkeeping with fluctuating Bitcoin prices.
59. **Question 59:** A
    Custodial wallets manage private keys, easing technical burdens for users.
60. **Question 60:** D
    The Starter profile uses either custodial or non-custodial Lightning wallets.
61. **Question 61:** B
    The Starter profile requires only a smartphone or tablet with a Lightning wallet, making it a lightweight solution.
62. **Question 62:** B
    The PoS app in the Essential profile enables employees to select items from a pre-set menu, streamlining the billing process.
63. **Question 63:** A
    Open Node is characterized as a fully custodial solution, differing from the hybrid nature of Swiss Bitcoin Pay.
64. **Question 64:** B
    The Essential profile targets small to medium-sized businesses with limited Bitcoin transactions, such as restaurants.
65. **Question 65:** A
    Swiss Bitcoin Pay is designed with a straightforward PoS interface that simplifies day-to-day operations.

66. **Question 66:** B
We highlights Swiss Bitcoin Pay as the recommended solution for an Essential profile, balancing simplicity and security.

67. **Question 67:** C
Be-BOP is an option for those who desire an integrated online e-store that facilitates Bitcoin payments.

68. **Question 68:** A
Zaprite and Musqet add customization and reporting refinements to the checkout process, complementing the core payment infrastructure.

69. **Question 69:** B
The flexibility of deploying BTC Pay Server on-premises or in the cloud allows businesses to choose the setup that best fits their operational needs.

70. **Question 70:** B
BTC Pay Server is highlighted in the course as the core open-source solution for Professional setups due to its extensive integration options and control.

71. **Question 71:** D
Professional businesses require customizable invoices, sophisticated reporting, and role management to suit their complex workflows.

72. **Question 72:** B
LSPs handle complex and high-volume operations on the Lightning network.

73. **Question 73:** A
Workflow triggers update systems in real time.

74. **Question 74:** D
APIs allow continuous, real-time integration.

75. **Question 75:** B
High-security measures such as multi-signature configurations with timelocks are crucial for managing large sums.

76. **Question 76:** A
Enterprise solutions aim to align Bitcoin payments with core business workflows and systems.